

**DO NOT WRITE ON TEST**



# **Digital Marketing Concepts**

**~OPEN EVENT~**

**(594)**

**STATE 2024**

**CONCEPT KNOWLEDGE:**

Multiple Choice (50 @ 2 points each)

\_\_\_\_\_ (100 points)

**Test Time: 60 minutes**

### Multiple Choice Questions

*Directions:* Identify the letter of the choice that best completes the statement or answers the question.

1. A design defect is a defect resulting from a dangerous design, even though the product was made according to specifications.  
A. True  
B. False
2. A limited liability company is a business owned by people who purchase stock in the company.  
A. True  
B. False
3. The law of demand is when the price of a product increases, less will be demanded.  
A. True  
B. False
4. Smartphones in the United States are an example of pure competition.  
A. True  
B. False
5. WOM stands for wrong occupational marker.  
A. True  
B. False
6. Patents can never expire.  
A. True  
B. False
7. A recession is a period of two consecutive quarters with a rise in GDP.  
A. True  
B. False
8. Variable costs increase when more products are produced.  
A. True  
B. False
9. If a company charges a 250% markup, and their product costs \$10, the total price paid by the customer would be \$15.00.  
A. True  
B. False
10. An example of an asset would be equipment used to create products.  
A. True  
B. False

11. You are a venture capitalist who purchased a 25% stake in a business for \$100,000. You have since earned \$500,000 in profit for the last three years. Calculate your ROI as the investor (round to the nearest full percentage)
- A. 1500%
  - B. 400%
  - C. 500%
  - D. 250%
12. You purchase a Facebook ad that generates \$5,000 of sales. You make 50% of all sales you make. The ad costs \$215. Calculate the ROI for the ad (Round to the nearest full percentage)
- A. 1063%
  - B. 2326%
  - C. 925%
  - D. 8500%
13. You are a digital marketing consultant for a few corporations. Your invoice terms are 2/10, n/30. What does 2/10 mean?
- A. There will be no discount after thirty days and the invoice is due.
  - B. No payment is expected after 30 days.
  - C. There will be a small discount if paid within ten days.
  - D. The invoice is due upon receipt.
14. You are a digital marketing consultant for a few corporations. Your invoice terms are 2/10, n/30. You have three invoices outstanding, and recently received payment for all dated October 1<sup>st</sup>. The first invoice was \$250 and was received on October 4<sup>th</sup>. The second invoice was \$575 and was received on October 9<sup>th</sup>. The third invoice was \$125 and was received October 15<sup>th</sup>. How much money did you actually receive? (Round to the nearest cent)
- A. \$950.00
  - B. \$938.50
  - C. \$945.00
  - D. \$933.50
15. You are a digital marketing consultant for a few corporations. Your invoice terms are 2/10, n/30. You have five invoices outstanding, and recently received payment for all dated November 15<sup>th</sup>. The first invoice was \$641.34 and was received on November 26<sup>th</sup>. The second invoice was \$245.41 and was received November 28<sup>th</sup>. The third invoice was \$864.83 and was received November 28<sup>th</sup>. The fourth invoice was \$554.25 and was received November 29<sup>th</sup>. The fifth invoice was \$997.44 and was received November 31<sup>st</sup>. How much money did you actually receive? (Round to the nearest cent)
- A. \$3,225.81
  - B. \$3,154.25
  - C. \$3,237.20
  - D. \$3,303.27

16. You are a digital marketing consultant for a few corporations. Your invoice terms are 2/10, n/30. You have three invoices outstanding, and recently received payment for all dated April 1<sup>st</sup>. The first invoice was \$2,783.25 and was received on April 5<sup>th</sup>. The second invoice was \$1,877.39 and was received on April 12<sup>th</sup>. The third invoice was \$5,888.87 and was received April 30<sup>th</sup>. How much money did you actually receive?
- A. \$11,557.36
  - B. \$10,493.85
  - C. \$9,774.14
  - D. \$10,488.49
17. \_\_\_\_\_ are physical features that can be seen and/or felt.
- A. Intangible parts
  - B. Tangible parts
  - C. Product dimensions
  - D. Product lines
18. What is the first stage of brand recognition?
- A. Awareness
  - B. Decision Making
  - C. Acceptance
  - D. Knowledge
19. What is the name of the strategy that describes companies distinguishing themselves from other similar brands?
- A. Namesaking
  - B. Differentiation
  - C. Gorilla marketing
  - D. None of these answers are correct
20. What are items offered in addition to the product to make it more attractive to a target market?
- A. Product Extensions
  - B. Product Additions
  - C. Product Enhancements
  - D. Product Developments
21. The product mix includes all of the following *except* \_\_\_\_.
- A. product
  - B. logo
  - C. product extension
  - D. product line

22. What is a group of similar products with slight variations to satisfy the different needs of customers?
- A. Product
  - B. Product line
  - C. Customer Tailored Products
  - D. Customizable Products
23. What are the incentives received in addition to one's base salary?
- A. Retirement benefits
  - B. Overtime
  - C. Fringe benefits
  - D. None of these answers are correct.
24. What is the name of the strategy of introducing a new product at a high price value?
- A. Modern Pricing
  - B. High End Pricing
  - C. Versatility
  - D. Skimming
25. What are new technologies which change existing forms of communication channels called?
- A. Disruptive technologies
  - B. Adaptive technologies
  - C. Emerging technologies
  - D. Defining technologies
26. When attempting to reach the widest audience possible, \_\_\_\_\_ should be used.
- A. billboards
  - B. text messages
  - C. demographic-based ads
  - D. mass marketing
27. If a business is only able to buy supplies to make 500 sweaters for resale, this creates \_\_\_\_\_.
- A. scarcity
  - B. demand
  - C. excess
  - D. elasticity
28. Antitrust laws are created and enforced to decrease the possibility of \_\_\_\_\_ being created.
- A. competition
  - B. monopolies
  - C. corporations
  - D. Inflation

29. All of the following are examples of promotional pricing *except* \_\_\_\_\_.  
A. 50% markup  
B. 50% markdown  
C. A buy one, get one free sale  
D. Zero interest for 6 months
30. Which of the following is the most correct first step in determining a product's cost?  
A. Research competitors  
B. Forecast potential sales  
C. Establish price objectives  
D. Establish a SWOT analysis for the product
31. \_\_\_\_\_ is the point when supply and demand meet.  
A. Equilibrium  
B. Scarcity  
C. Surplus  
D. Market value
32. \_\_\_\_\_ occurs when multiple businesses work together to charge high prices for a specific service or product.  
A. Price fixing  
B. Antitrust  
C. Fraud  
D. Conspiracy
33. A(n) \_\_\_\_\_ is a marketing element when the price of an item is lowered, and an additional incentive is offered.  
A. sales promotion  
B. gift with purchase  
C. liquidation  
D. flywheel
34. If a company makes an ad based on a popular TikTok trend on their official account, they are utilizing \_\_\_\_\_.  
A. celebrity advertising  
B. WOM advertising  
C. PR advertising  
D. interactive advertising
35. All of the following are examples of over-the-top streaming *except* \_\_\_\_\_.  
A. YouTube  
B. cable  
C. Netflix  
D. Hulu

36. What does SEO stand for?
- A. Search engine optimization
  - B. Search engine official
  - C. Search engine options
  - D. Search engine offers
37. Which of the following was the first social media company to come out with short videos (less than 6 seconds)?
- A. Vine
  - B. Musical.ly
  - C. TikTok
  - D. Snapchat
38. Twitter currently allows three different types of check verification on their platform. What are the three colors?
- A. Blue, bronze, silver
  - B. Blue, gray, black
  - C. Blue, gold, gray
  - D. There are less than three colors.
39. What does the blue checkmark on Twitter represent?
- A. A verified company account
  - B. A verified celebrity account
  - C. A verified government account
  - D. None of the answers are correct.
40. What year did Snapchat launch?
- A. 2012
  - B. 2011
  - C. 2015
  - D. 2009
41. \_\_\_\_\_ have risen in popularity recently with Spotify, IHeartRadio, and Apple spending millions on branding deals with celebrities and their voices.
- A. Podcasts
  - B. Blogs
  - C. Reels
  - D. TikToks
42. Google (now Alphabet) acquired this company in 2006.
- A. Facebook
  - B. Yahoo
  - C. YouTube
  - D. Ring

43. What does IPO stand for?
- A. Initial Public Offering
  - B. Internal Planning Official
  - C. Internet Product Offering
  - D. Internet Placement Offering
44. What does UGC stand for?
- A. Updated Graphic Controller
  - B. User Generated Chat
  - C. User Generated Click
  - D. User Generated Content
45. \_\_\_\_\_ is most commonly described as the reason marketers utilize social media marketing.
- A. Saving the most money possible
  - B. Building brand awareness
  - C. Increasing revenue
  - D. Decreasing expenses
46. Webinars are not a form of digital marketing.
- A. True
  - B. False
47. \_\_\_\_\_ is the number of people seeing information about a business's product or service from social media NOT from official pages of the company.
- A. Organic reach
  - B. Grassroot reach
  - C. Outside reach
  - D. Measurable reach
48. What does KPI stand for?
- A. Key Personal Information
  - B. Key Proprietary Information
  - C. Key Performance Indicator
  - D. Key Performance Information
49. In digital marketing, what is a Call To Action (CTA)?
- A. A prompt for consumers to take a specific action
  - B. A websites primary headline
  - C. A quiz posted in a social media platform
  - D. The response rate to an email marketing campaign
50. What is a key performance indicator (KPI) in digital marketing?
- A. A metric used to measure email open rates
  - B. A metric used to measure website traffic
  - C. A measurable value used to determine campaign success
  - D. A tool for competitor analysis